

ECONOMIC GROWTH AND DEVELOPMENT

INDEX OF TOPICS

1. Economic Growth — Meaning and Importance
 - 1.2 Importance of Economic Growth
 - 1.3 Factors Affecting Economic Growth
 - 1.4 Limitations of Economic Growth
2. Economic Development — Meaning and Importance
 - 2.2 Evolution of Economic Development
3. Economic Growth vs Economic Development
4. Economic Development and Structural Changes
5. Indices to Measure Economic Development
 - 5.1.1 Human Development Index (HDI)
 - 5.1.2 Inequality-adjusted HDI (IHDI)
 - 5.1.3 Gender Development Index (GDI)
 - 5.1.4 Gender Inequality Index (GII)
 - 5.1.5 Gender Social Norms Index (GSNI)
 - 5.1.6 Multidimensional Poverty Index (MPI)
- 5.2 Other Indices
 - 5.2.2 World Happiness Index (WHI)
 - 5.2.3 OECD Better Life Index
 - 5.2.1 Genuine Progress Indicator (GPI)
 - 5.2.4 Physical Quality of Life Index (PQLI)
6. Developed vs Developing Economies
 - 6.2.1 World Bank Income Classification (2024)
 - 6.2.2 Development-based Classification
 - 6.3 Common Characteristics of Developing Countries
7. Composite Development Index

1. Economic Growth — Meaning and Importance

It is an increase in the level of output of goods and services that is sustained over a long period of time, measured in terms of value added.

Economic growth rate = $\frac{\text{Change in GDP}}{\text{Last Year's GDP}} \times 100$

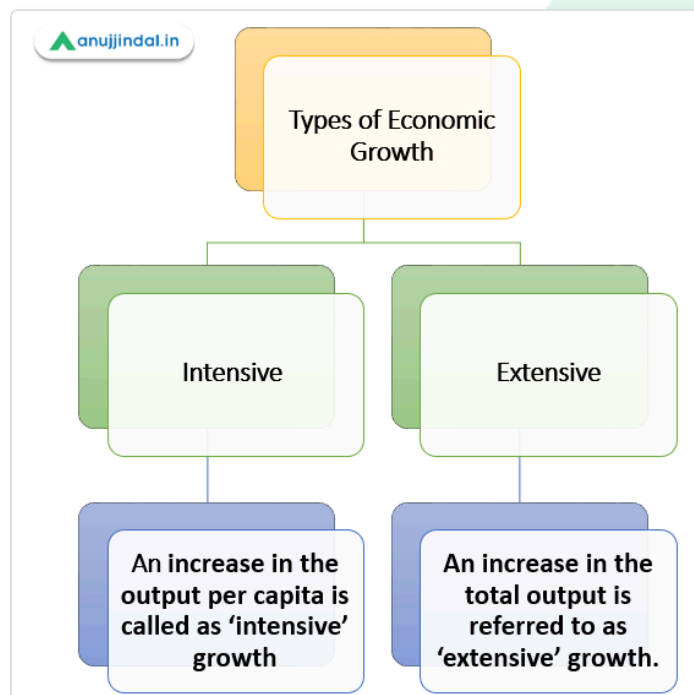
- Refers to growth of **potential output** i.e. production at full employment.
- A **dynamic concept** — continuous expansion in level of output.
- Commodity Market**: leads to increased output and newer, better products.
- Factor Market**: improves workforce skills and produces more efficient machinery.
- Structural Shift**: moves economy from rural/agricultural to urban/industrial.

- Technological Progress** — Enables more output from the same resources.

1.4 Limitations of Economic Growth

- Inequality of Income** — early-stage growth worsens income distribution.
- Pollution & Negative Externalities** — increased output pressures the environment.
- Loss of Non-Renewable Resources** — more production depletes finite resources.

2. Economic Development — Meaning and Importance



1.2 Importance of Economic Growth

- Poverty alleviation
- Wider availability for human choices and economic activities
- Resolves social issues
- Improves standard of living
- Better technology

1.3 Factors Affecting Economic Growth

- Capital Formation (Investment)** — More capital investment → more production → higher growth.
- Capital-Output Ratio** — Units of capital per unit of output. Lower ratio = higher efficiency.
- Occupational Structure** — Efficient labour utilisation boosts overall productivity.

A sustained, long-term increase in economic well-being, standard of living, and overall prosperity. A **broadier concept** that includes economic growth.

Encompasses improvements beyond GDP: quality of life, poverty and inequality reduction, technology, infrastructure, education, and healthcare.

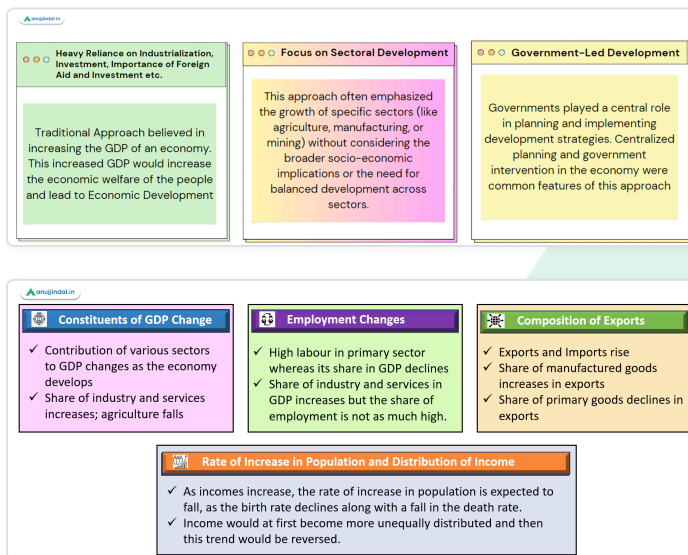
Importance

- Improved Quality of Life
- Poverty Reduction
- Enhanced Human Capital
- Increased Employment
- Stimulated Innovation
- Infrastructure Development
- Social Stability and Equity
- Environmental Sustainability
- Institutional and Political Stability

2.2 Evolution of Economic Development

Till 1960s, used as a synonym of economic growth. Two approaches emerged:

- **Traditional Approach** — focused on GDP growth of 5–7% p.a.; structural shift from agrarian to industrial; trickle-down effect.
- **Modern Approach** — broader, multidimensional beyond GDP growth.

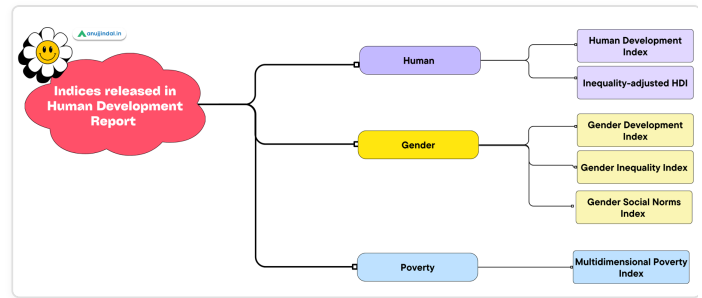


3. Economic Growth vs Economic Development

Basis	Growth	Development
Meaning	Increase in output sustained over time.	Quantitative AND qualitative changes.
Nature	Quantitative only.	Both quantitative and qualitative.
Scope	Narrow.	Broad.
Measurement	GDP, GNP.	HDI, GII, GDI.

4. Economic Development and Structural Changes

Pioneering work by **Prof. Simon Kuznets** (historical data). **Hollis Chenery** extended it using current data.



5. Indices to Measure Economic Development

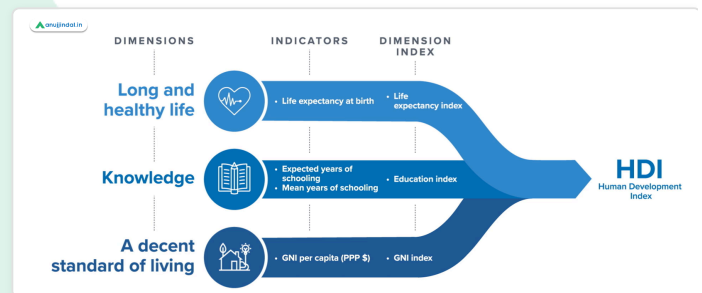
5.1.1 Human Development Index (HDI)

- **Origin:** 1990 | **Released by:** UNDP
- **Purpose:** People and capabilities — not just economic growth.
- **Coverage:** 191 countries | **Range:** 0 to 1



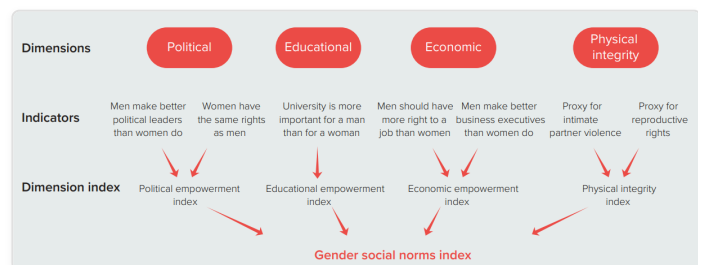
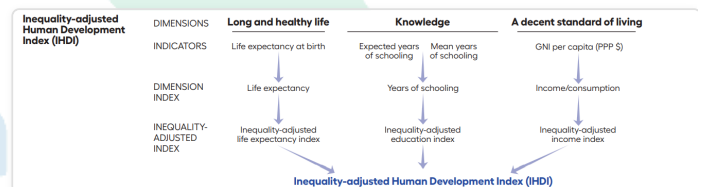
Components of HDI

- Long and healthy life — Life expectancy at birth
- Knowledge — Expected & mean years of schooling
- Standard of living — GNI per capita (PPP \$)



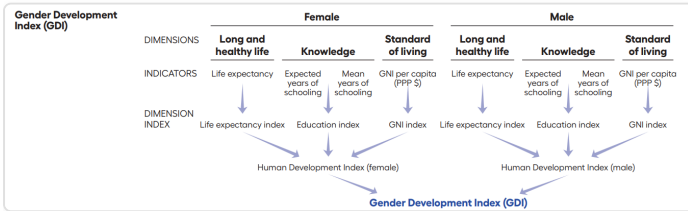
5.1.2 Inequality-adjusted HDI (IHD)

- **Origin:** 2010 | **Released by:** UNDP
- **Adds a correction factor** for inequality within a country.
- HDI = averages; IHD = distribution of achievements.



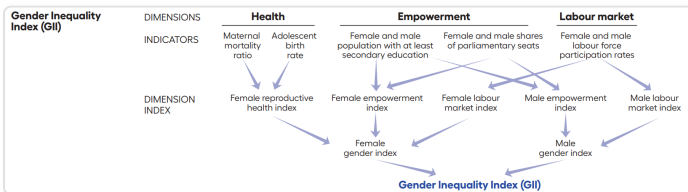
5.1.3 Gender Development Index (GDI)

- **Origin:** 1990 | **Released by:** UNDP
- **Purpose:** Measure health, education, and standard of living separately for men and women.



5.1.4 Gender Inequality Index (GII)

- **Origin:** 1990 | **Released by:** UNDP
- Reflects gender disadvantage across reproductive health, empowerment, labour market.
- **Range:** 0 (equality) to 1 (max inequality) — lower = better.

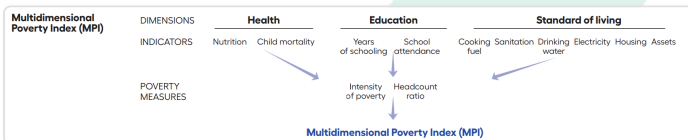


Components of GII

- Health: Maternal mortality ratio, Adolescent birth rate
- Empowerment: Parliamentary seats, Secondary education
- Labour Market: Labour force participation rate

5.1.5 Gender Social Norms Index (GSNI)

- **Origin:** 2019 | **Released by:** UNDP
- Quantifies biases against women across 4 dimensions.
- **Coverage:** 91 countries (subject to change).



5.1.6 Multidimensional Poverty Index (MPI)

TABLE: Global MPI - Dimensions, Indicators, Deprivation Cutoffs, and Weights

DIMENSIONS OF POVERTY	INDICATOR	DEPRIVED IF LIVING IN A HOUSEHOLD WHERE...	WEIGHT	SDG AREA
Health (1/3)	Nutrition	Any person under 70 years of age for whom there is nutritional information is undernourished .	1/6	SDG 2: Zero Hunger
	Child mortality	A child under 18 has died in the household in the five-year period preceding the survey.	1/6	SDG 3: Health and Well-being
Education (1/3)	Years of schooling	No eligible household member has completed six years of schooling .	1/6	SDG 4: Quality Education
	School attendance	Any school-aged child is not attending school up to the age at which he/she would complete class 8 .	1/6	SDG 4: Quality Education
Living Standards (1/3)	Cooking fuel	A household cooks using solid fuel , such as dung, agricultural crop, shrubs, wood, charcoal, or coal.	1/18	SDG 7: Affordable and Clean Energy
	Sanitation	The household has unimproved or no sanitation facility or it is improved but shared with other households.	1/18	SDG 6: Clean Water and Sanitation
	Drinking water	The household's source of drinking water is not safe or safe drinking water is a 30-minute or longer walk from home, roundtrip.	1/18	SDG 6: Clean Water and Sanitation
	Electricity	The household has no electricity .	1/18	SDG 7: Affordable and Clean Energy
	Housing	The household has inadequate housing materials in any of the three components: floor, roof, or walls .	1/18	SDG 11: Sustainable Cities and Communities
	Assets	The household does not own more than one of these assets : radio, TV, telephone, computer, animal cart, bicycle, motorbike, or refrigerator, and does not own a car or truck.	1/18	SDG 1: No Poverty

- **Origin:** 2010 | **Released by:** OPHI and UNDP
- Shows *how* people are poor — all deprivations identified.
- **Coverage:** ~100 countries (subject to change).



Dimensions of MPI

- Health (1/3): Nutrition, Child mortality
- Education (1/3): Years of schooling, School attendance
- Living Standards (1/3): Cooking fuel, Sanitation, Drinking water, Electricity, Housing, Assets

5.2 Other Indices

5.2.2 World Happiness Index (WHI)

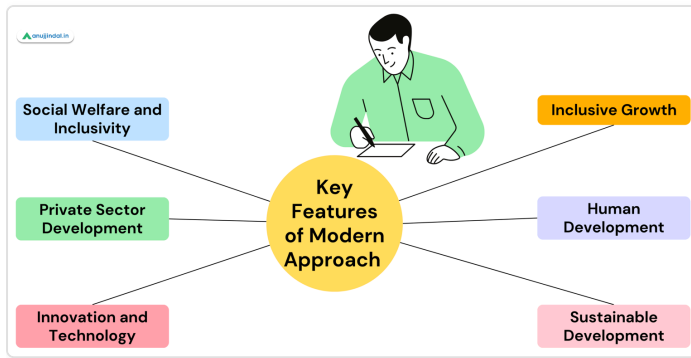
- **Origin:** 2012 | **Released by:** UN SDSN
- 7 components: Social Support, Life Expectancy, Freedom, Generosity, GDP per capita, Corruption, Dystopia.

5.2.3 OECD Better Life Index

- 11 dimensions — no single ranking; users set own weights.

Dimensions: Housing, Income, Jobs, Community, Education, Environment, Governance, Health, Life Satisfaction, Safety, Work-Life Balance.





The Raghuram Rajan Committee (2013) proposed a **Composite Development Index** to determine underdevelopment of Indian states with 10 equal-weight sub-components.

- 1. Monthly per-capita consumption expenditure
- 2. Education
- 3. Health
- 4. Household amenities
- 5. Poverty rate
- 6. Female literacy
- 7. Percentage of SC/ST population
- 8. Urbanisation rate
- 9. Financial inclusion
- 10. Connectivity

5.2.1 Genuine Progress Indicator (GPI)

Alternative to GDP; accounts for income distribution, environmental degradation, household/volunteer work.

5.2.4 Physical Quality of Life Index (PQLI)

Morris David Morris, 1970s. Components: Basic Literacy Rate, Life Expectancy at Age 1, Infant Mortality Rate. Scores 0–100.



Key Points to Remember

- Economic Growth $\subseteq$ Economic Development.
- HDI = Health + Education + Standard of Living.
- Lower GII = better gender equality.
- PQLI = first composite alternative to GDP.
- Raghuram Rajan Committee (2013) → Composite Development Index.

6. Developed vs Developing Economies

World Bank categorises economies into **high income**, **middle income**, and **low income**.

6.2.1 World Bank Income Classification (2024)

Category	GNI Per Capita (US\$)
Low income	\$1,135 or less
Lower middle income	\$1,136 – \$4,465
Upper middle income	\$4,466 – \$13,845
High income	\$13,846 or more

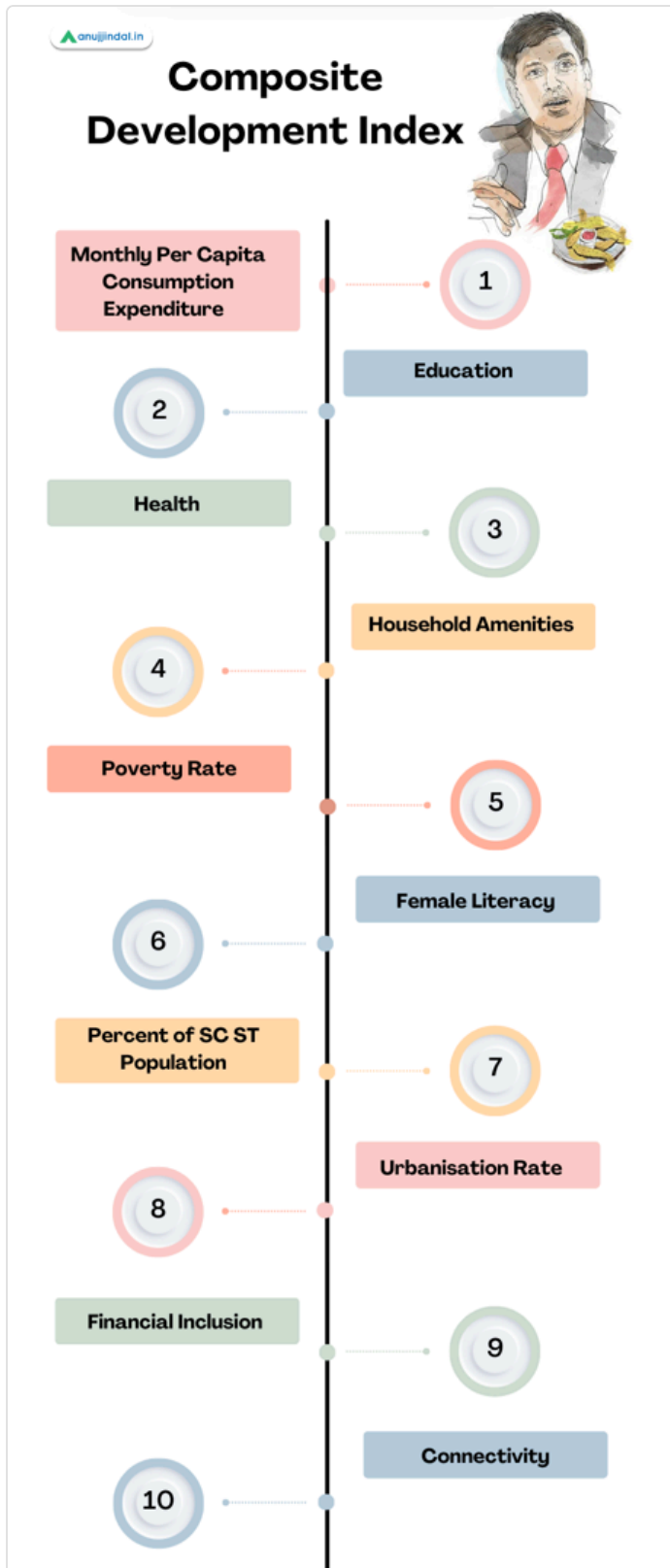
6.2.2 Development-based Classification

- **Developed (MEDC)** — advanced economy, strong tech infrastructure. E.g. USA.
- **Developing** — less industrialised, moving toward services/production. E.g. India.
- **Least Developed (LDCs)** — severe structural impediments. E.g. Somalia, Sudan.

6.3 Common Characteristics of Developing Countries

- Low GNP Per Capita
- Scarcity of Capital
- Rapid population growth
- Low Productivity
- Technological Backwardness
- High Unemployment
- Low Human Wellbeing
- Wide Income Inequality
- High Poverty
- Agrarian Economy
- Low Participation in Foreign Trade

7. Composite Development Index



ndal.in